CENTRAL ELECTRICITY REGULATORY COMMISSION
NEW DELHI

Petition No. 451/MP/2025 along with IA 36/2025

Coram:

Shri Jishnu Barua, Chairperson
Shri Ramesh Babu V., Member
Shri Harish Dudani, Member
Shri Ravinder Singh Dhillon, Member

Date of Order: 14.02.2026

In the matter of:

Petition under Section 79, including 79 (1)(c), 79 (1)(f) and 79 (1)(k) of the Electricity Act, 2003, seeking continuation of its GNA/ Connectivity of 700 MW. The Petitioner is also seeking consequent directions upon the Respondent/ CTUIL to consider Connectivity Bank Guarantees already furnished by the Petitioner with respect to its GNA applications dated 30.05.2024 to 22.06.2024 as sufficient for the purpose of such continuation, with no requirement to submit fresh Connectivity Bank Guarantees.

And

In the matter of:
Support Properties Private Limited (SPPL).
Adani Corporate House, Shantigram
Near Vaishno Devi Circle, S.G Highway
Khodiyar, Ahmedabad **…….Petitioner**

Versus

Central Transmission Utility of India Limited (CTUIL)
Saudamini, Plot No.2, Sector-29,
Near IFFCO Chowk Metro Station Gurugram,
Haryana-122001 **……...Respondent**

Parties Present:

Shri Sanjay Sen, Sr. Advocate, SPPL

Shri Hemant Singh, Advocate, SPPL
Ms. Supriya Rastogi, Advocate, SPPL
Shri Indrayudh Chowdhury, Advocate, SPPL
Ms. Ruth Elwin, Advocate, SPPL
Shri Arun Lal, Advocate, SPPL
Shri Nitesh Singh, Advocate, SPPL
Shri Sajid Akhtar, Advocate, SPPL
Shri Shubham Arya, Advocate, CTUIL
Ms. Poorva Saigal, Advocate, CTUIL
Ms. Shirin Gupta, Advocate, CTUIL

ORDER

The present Petition has been instituted seeking appropriate directions to the Respondent-CTUIL to continue the General Network Access (GNA) of 700 MW earlier granted to the Petitioner on 24.10.2024, which was subsequently relinquished.

2.The Petitioner has made the following prayers in the main Petition:

(a) Permit the Petitioner to withdraw/ cancel its relinquishment letter dated 22.01.2025 (communicated via email dated 11.02.2025) of its 700 MW of GNA/ Connectivity, and allow continuation of the GNA granted to the Petitioner vide letter dated 24.10.2024;

(b) Direct the Respondent/ CTUIL to retain the Connectivity Bank Guarantees, being Annexure P-4, for the GNA in terms of Regulation 22.2(b-i) of the GNA Regulations 2022, for the GNA/ Connectivity granted vide the Respondent's letter dated 24.10.2024; and

(c) Pass any other or further orders as it may deem fit to this Commission in the facts and circumstances of the present case.

3.The Petitioner has made the following prayers vide IA No.36/2025:

(a) Allow the present application thereby restraining the Respondent/ CTUIL from taking any coercive actions, including encashment of Bank Guarantees furnished by the Petitioner, till the pendency of the accompanying petition; and

(b) Pass any other or further orders as it may deem fit to this Hon'ble Commission in the facts and circumstances of the present case.

4.The Petitioner has made the following prayers vide IA No.37/2025 (Dy no. 206/2025):

(a) Allow the present application thereby urgently listing the present petition for hearing; and

(b) Pass any other or further orders as it may deem fit to this Hon'ble Commission in the facts and circumstances of the present case.

The above IA 37/2025 was filed for the urgent listing of the matter. Having served its purpose, it has been disposed of vide RoP for the hearing dated 24.04.2025.

Submissions of the Petitioner:

5.Petitioner has made the following submissions:

(a) Petitioner, SPPL, was in the process of establishing a Data Centre facility at Navi Mumbai, Maharashtra. The aforesaid project is estimated to commence its operations from January 2027 onwards and is assessed to have a power requirement of 1.4 GW, while operating at its full capacity, for which the expected timeframe is projected to be July 2034.

(b) Petitioner had applied for GNA/ Connectivity for a cumulative quantum of 700 MW (through 14 applications of 50 MW each) to the Respondent, CTUIL, between 30.05.2024 and 22.06.2024. GNA was granted vide letter dated 24.10.2024 on 765/400kV South Kalamb s/s, which, as per the said letter, is at the tendering stage under the Network Expansion Scheme in Western Region, to cater to the Pumped Storage Potential Scheme near Talegaon (Pune). As required, the Petitioner also submitted cumulative Connectivity Bank Guarantees of Rs. 21 Crore to the Respondent.

Sr. No	Intimation No	Intimation Date	GNA Start Date	GNA Quantum
1	CTU/W/GNA-INT-2B/2200000833	24-10-2024	01-01-2027	50
2	CTU/W/GNA-INT-2B/2200000950	24-10-2024	01-04-2027	50
3	CTU/W/GNA-INT-2B/2200000966	24-10-2024	01-05-2027	50
4	CTU/W/GNA-INT-2B/2200000949	24-10-2024	01-06-2027	50
5	CTU/W/GNA-INT-2B/2200000965	24-10-2024	01-08-2027	50
6	CTU/W/GNA-INT-2B/2200000963	24-10-2024	01-12-2027	50
7	CTU/W/GNA-INT-2B/2200000964	24-10-2024	01-04-2028	50
8	CTU/W/GNA-INT-2B/2200000962	24-10-2024	01-07-2028	50
9	CTU/W/GNA-INT-2B/2200000961	24-10-2024	01-10-2028	50
10	CTU/W/GNA-INT-2B/2200000960	24-10-2024	01-02-2029	50
11	CTU/W/GNA-INT-2B/2200000959	24-10-2024	01-05-2029	50
12	CTU/W/GNA-INT-2B/2200000957	24-10-2024	01-09-2029	50
13	CTU/W/GNA-INT-2B/2200000952	24-10-2024	01-01-2030	50
14	CTU/W/GNA-INT-2B/2200000951	24-10-2024	01-05-2030	50

Details of the Connectivity Bank guarantees submitted by SPPL are provided in the table given below:

Sr. No	Intimation No	BG1 GUARANTEE Number	BG3 GUARANTEE Number	BG1 (In INR)	BG3 (In INR)
1	CTU/W/GNA-INT-2B/ 2200000833	1731324BG0B01589	1731324BG0B01559	0.5 CRS	1 CRS
2	CTU/W/GNA-INT-2B/ 2200000950	1731324BG0B01587	1731324BG0B01576	0.5 CRS	1 CRS
3	CTU/W/GNA-INT-2B/ 2200000966	1731324BG0B01588	1731324BG0B01575	0.5 CRS	1 CRS

4	CTU/W/GNA-INT-2B/ 2200000949	1731324BG0B01586	1731324BG0B01574	0.5 CRS	1 CRS
5	CTU/W/GNA-INT-2B/ 2200000965	1731324BG0B01584	1731324BG0B01573	0.5 CRS	1 CRS
6	CTU/W/GNA-INT-2B/ 2200000963	1731324BG0B01585	1731324BG0B01572	0.5 CRS	1 CRS
7	CTU/W/GNA-INT-2B/ 2200000964	1731324BG0B01583	1731324BG0B01571	0.5 CRS	1 CRS
8	CTU/W/GNA-INT-2B/ 2200000962	1731324BG0B01581	1731324BG0B01570	0.5 CRS	1 CRS
9	CTU/W/GNA-INT-2B/ 2200000961	1731324BG0B01582	1731324BG0B01569	0.5 CRS	1 CRS
10	CTU/W/GNA-INT-2B/ 2200000960	1731324BG0B01598	1731324BG0B01568	0.5 CRS	1 CRS
11	CTU/W/GNA-INT-2B/ 2200000959	1731324BG0B01580	1731324BG0B01566	0.5 CRS	1 CRS
12	CTU/W/GNA-INT-2B/ 2200000957	1731324BG0B01579	1731324BG0B01565	0.5 CRS	1 CRS
13	CTU/W/GNA-INT-2B/ 2200000952	1731324BG0B01578	1731324BG0B01564	0.5 CRS	1 CRS
14	CTU/W/GNA-INT-2B/ 2200000951	1731324BG0B01577	1731324BG0B01563	0.5 CRS	1 CRS

(c) As SPPL proceeded to develop its data centre facility in Mumbai, it was identified that the project would now require power availability earlier than the initially scheduled timeline. As such, the proposed/ approved dates for operationalisation/ start of 700 MW GNA of SPPL became unfeasible given SPPL's updated power requirements.

(d) Accordingly, the Petitioner vide letter dated 22.01.2025 (the same was sent with an email sent on 11.02.2025 and a hard copy of the same was sent on 19.02.2025) to the Respondent sought to relinquish the GNA granted to it, which was accepted by the said Respondent on 20.03.2025. In view of such relinquishment of GNA, CTUIL proceeded to invoke the encashment of Bank Guarantees furnished by SPPL.

(e) SPPL vide its letter dated 22.02.2025 wrote to CTUIL requesting the cancellation of the invocation of Bank Guarantees furnished by SPPL against its connectivity/ GNA, and further ensured CTUIL that SPPL will pay all the relinquishment charges. CTUIL vide its email dated 24.03.2025, while responding to the aforesaid request of SPPL, agreed to cancel the invocation of BG subject to unequivocal and unconditional confirmation of payment of Rs. 21 Crore to CTUIL by 26.03.2025. Thereafter, SPPL wrote to CTUIL vide its email dated 26.03.2025 informing that due to the financial year ending, they are unable to process the payment and further requested extension of the month, thereby committing to payments by 02.04.2025.

(f) As per the final grant of GNA dated 24.10.2024, SPPL was provided connectivity on 765/ 400kV South Kalamb s/s, which, as per the said letter, is at the tendering stage under the Network Expansion Scheme in Western Region. Accordingly, there has been no development, and no construction work has yet been started by CTUIL towards the transmission system proposed for the purpose of operationalisation of the SPPL's connectivity/ GNA, which includes a dedicated transmission system, a common transmission system under tendering stage and an approved transmission system.

(g) CTUIL has not made any expenses towards the operationalisation of the GNA granted to SPPL and thus has suffered no losses qua any stranded capacity, as the transmission system of SPPL never got constructed/ commissioned and hence did not become part of the ISTS, to leave a stranded capacity in ISTS on its relinquishment. Accordingly, no charges can be imposed for the relinquishment of 700 MW GNA of the Petitioner.

(h) The demand, particularly from data centres and the IT/ ITeS sector, is largely driven by its end consumers like hyperscalers, BFSI, IT and other enterprises. This market segment is highly sensitive to technological advancements and economic fluctuations, making demand assessments volatile and dynamic. As a result, scenarios often arise where the demand becomes unpredictable and uncertain, necessitating frequent reassessments and adjustments.

(i) Considering the aforesaid, the Petitioner decided to withdraw its cancellation/ relinquishment of GNA and sought continuation of its GNA/ Connectivity, vide a letter dated 04.04.2025, due to a change in market conditions. Additionally, the Petitioner requested that the Bank Guarantees submitted qua the original GNA applications ought to be considered as sufficient and valid.

(j) Petitioner also wrote to the Ministry of Power (MOP) on 09.04.2025. The matter was discussed in a meeting dated 09.04.2025 under the chairmanship of the Secretary (Power), wherein it was decided to approach this Commission within the next seven working days for clarifications on this issue. Accordingly, the status quo was maintained until CERC discussed the matter.

(k) It is submitted that while there cannot be any levy of relinquishment charges upon the Petitioner in the first place as CTUIL did not suffer any losses, the said Petitioner has

now requested for continuation of its 700 MW GNA/ Connectivity, which entails that neither any such relinquishment charges can be imposed nor fresh bank guarantees can be asked by the Respondent.

(l) When the Petitioner has sought continuation of its GNA/ Connectivity, there cannot be any question of any stranded capacity in the ISTS. The purpose of the levy of relinquishment charges is to safeguard the interests of DICs from being burdened with the augmented transmission system when the entity for whom the said system was augmented relinquishes its GNA/ Connectivity.

(m) In the present case, as the Petitioner seeks continuation of its GNA/ Connectivity from the same date, as was mentioned in the grant letter dated 24.10.2024 issued by CTUIL, it is apparent that no stranded transmission capacity would be available, which could burden the other DICs. The CONN-BGs furnished by the Petitioner with respect to its GNA applications dated 30.05.2024 to 22.06.2024 ought to be considered sufficient for the continuation of GNA, with no requirement of furnishing fresh BGs.

(n) Without prejudice to the aforesaid, this Commission may invoke its power to relax under Regulation 41 of the GNA Regulations, 2022, for granting the relief as sought by the Petitioner under the present petition.

Submissions vide IA 36/2025 (Diary No. 205/2025):

6. Petitioner vide affidavit dated 16.04.2025 has made the following submissions seeking interim relief:

(a) SPPL now seeks to continue the same 700 MW GNA; there is also no basis for demanding fresh Connectivity Bank Guarantees (CONN-BGs). The case should be treated as a continuation of the previously granted GNA, not a fresh grant following relinquishment. Since there has been no progress or asset development based on the original GNA, reinstating the same would not disrupt planning or prejudice CTUIL.

(b) The present case cannot be seen or considered as first a case of relinquishment and then a fresh grant of GNA/ Connectivity. The present case concerns the continuation of its GNA to the Petitioner, which essentially means the continuation of its earlier GNA/ Connectivity of 700MW.

(a) SPPL states that, as per CERC's order in Petition No. 92/MP/2015, which established that relinquishment charges are not applicable if the relinquished capacity is or will be reallocated. In this case, since SPPL itself continues to utilise the same GNA, no capacity is stranded. In the present case, as the Petitioner seeks continuation of its GNA/ Connectivity from the same date, as was mentioned in the grant letter dated 24.10.2024 issued by CTUIL, it is apparent that no stranded transmission capacity would be available, which could burden the other DICs.

(a) Since GNA Regulations 2022 do not explicitly address reinstatement or withdrawal of relinquishment, SPPL sought from the Commission to invoke its powers under Section 79(1)(c) of the Electricity Act, 2003 to allow cancellation of the relinquishment and continuation of the GNA without requiring reapplication or new BGs. Citing the Supreme Court's ruling in *(2010) 4 SCC 603*, submitted that this Commission is free to exercise its regulatory powers where the regulations are silent. In the present case, a sectoral issue has been raised whereby a bulk consumer, who wishes to get its GNA restored/continued, ought not to be burdened with relinquishment charges, nor should it be asked to furnish fresh CONN-BGs.

(b) The Petitioner/ Applicant is filing the present application before this Hon'ble commission seeking interim relief, as no coercive actions may be taken by the Respondent, including encashment of Bank Guarantees, till the pendency of the present Petition before this Hon'ble commission, as the same will precipitate the matter and will cause severe losses to the Petitioner.

Hearing dated 24.04.2025:

7. During the hearing, learned Counsel for the Petitioner presented the case through verbal arguments. CTUIL sought liberty to file a reply in the matter. After considering submissions of parties, the Petition was admitted, and Respondents were directed to file a reply within two weeks. The Commission further directed that:

> *"(c) The status-quo in regard to the Bank Guarantees submitted by the Petitioners shall continue till the next date of hearing.*
>
> *(d) IA (Diary) No. 206/2025 filed for the urgent listing of matter, having served its purpose, stands disposed of."*

Accordingly, IA 37/2025 (Diary No. 206/2025), having served its purpose, was disposed of.

Submissions of the CTUIL:

8. Respondent-CTUIL vide affidavit dated 23.05.2025 has made the following submissions:

(a) GNA in the present case was granted to the Petitioner under Regulation 17.1(iii) of the GNA Regulations, 2022. The corresponding relinquishment is dealt under the proviso to Regulation 25.1 of the GNA Regulations, 2022. As per the 2022 GNA Regulations, the provision for encashment of Conn-BG1 and Conn-BG3 is absolute and without any qualification. The concept of stranded capacity or any loss suffered on account thereof is not a precondition for encashment of Conn-BG1 and Conn-BG3. The liability to pay the relinquishment charges under the proviso to Regulation 25.1 of the GNA Regulations, 2022, is a statutory obligation. The Regulation imposes strict liability on the relinquishing party to pay these charges, irrespective of whether any loss is being suffered.

(b) Petitioner is deliberately confusing the relinquishment of GNA under the GNA Regulations, 2022, with the relinquishment of Long-Term Access ('LTA') under the Connectivity Regulations, 2009. While Regulation 18 of the Connectivity Regulations, 2009 was specifically related to payment of relinquishment charges with respect to stranded capacity, there is no such intention, express or otherwise, prescribed in the proviso to Regulation 25.1 of the GNA Regulations, 2022. The comparison in this regard of Regulation 18.1 of the Connectivity Regulations, 2009, to Regulation 25.1 of the GNA Regulations, 2022 is as under:

Regulation 18.1 of the Connectivity Regulations, 2009	**Regulation 25.1 of the GNA Regulations, 2022**
*(1) A long-term customer may relinquish the long-term access rights fully or partly before the expiry of the full term of long-term access, by making payment of compensation for **stranded capacity** as follows:*	*Provided further that for the entity covered under clause (iii) of Regulation 17.1 of these regulations, if GNA is relinquished prior to date of effectiveness of GNA, Conn-BG1 and Conn-BG3 shall be encashed corresponding to the relinquished quantum as relinquishment charges*

(c) The entire concept of stranded capacity has been done away with. There is no reference to 'stranded capacity' in the GNA Regulations, 2022. The Petitioner, while interpreting the proviso to Regulation 25.1 of the GNA Regulations, 2022, to include the concept of stranded capacity into it, is adding words to the Regulation that are impermissible and contrary to the settled principle of interpretation.

(a) The reliance placed by the Petitioner on Para 16.2.1 of the Statement of Reasons in relation to the first Amendment to Regulation 25 of the GNA Regulation, 2022 is not applicable in the present case. The said paragraph explains the increase in the notice period from one month to one year and the reduction of relinquishment charges from 24 times to 18 times of the monthly charges. In cases where GNA has not been made effective, in contrast to the cases where GNA has been made effective, only encashment of Conn-BG 1 and Conn-BG 3 is prescribed for and not relinquishment charged equivalent to X times the relinquishment charges payable by such entities.

(a) The grant of connectivity and its implications thereof, including but not limited to encashment of bank guarantee arises out of the GNA Regulations, 2022. In other words, the encashment of a bank guarantee in cases where certain obligations were prescribed but are not fulfilled is a regulatory prescription, and the same does not arise out of any contract/ agreement. GNA Regulations, 2022, prescribe the encashment of Conn-BG1 and Conn-BG3 corresponding to the relinquished quantum as relinquishment charges. The encashment of different bank guarantees for different defaults inherently takes into account the legal injury suffered and provides for genuine pre-estimated compensation for different defaults. Therefore, the basic premise of the Petitioner's plea that the loss required to be suffered or proved is baseless.

(b) The Petitioner is seeking to retain the already relinquished GNA. It is submitted that, pursuant to the request, CTUIL has already accepted the relinquishment. Once a request for relinquishment of the connectivity is made, the connectivity ceases to exist, and the Petitioner will cease to have any rights associated with it. It is submitted that, if the Petitioner seeks to re-establish such connectivity, it is required to submit a fresh application in accordance with the applicable regulatory framework. In such

a scenario, the Petitioner will also be required to furnish fresh Bank Guarantees under Regulation 8 of the GNA Regulations, 2022.

(c) Since the bidding process of the transmission scheme was in progress, on 13.02.2025, CTUIL immediately, upon receiving a request from the Petitioner, informed Central Electricity Authority of India ('CEA') about the said development. Thereafter, on 18.02.2025, CEA wrote a letter to RECPDCL (BPC) informing that, since the Petitioner's application has been withdrawn, the transmission scheme would now be required by 01.01.2028, as against the earlier timeframe of 01.01.2027.

(d) Accordingly, vide Amendment-XII dated 19.02.2025 in the Request for proposal (RfP), SCOD to establish *"Network Expansion scheme in Western Region to cater to Pumped storage potential near Talegaon (Pune)"* was revised to 01.01.2028. It is relevant to note here that the Letter of Intent (LoI) dated 08.04.2025 had also been issued by REC to Adani Energy Solutions Limited. Further, on 30.05.2025, the SPV was transferred, and a Transmission Service Agreement ('TSA') was signed between WRNES Talegaon Power Transmission Limited and CTUIL for the development and operation of the Inter-State Transmission System for the Network Expansion Scheme in the Western Region to cater to Pumped storage potential near Talegaon (Pune).

(e) SCOD of the transmission system with which the GNA for cumulative 700 MW was granted to the Petitioner had been revised to 01.01.2028, however, the Petitioner was granted GNA for cumulative 700 MW with start date as 01.01.2027 (based on the then anticipated SCOD date of the "Network Expansion scheme in Western Region to cater to Pumped storage potential near Talegaon (Pune)" scheme, which was being brought in matching time-frame of the Petitioner). Accordingly, the relief sought by the Petitioner for the continuation of the cumulative 700 MW may be required to be adjudicated in terms of the aforesaid developments.

(f) In the absence of regulatory provisions allowing the withdrawal of a relinquishment request under the GNA Regulations, 2022, CTUIL could not have allowed or cannot accept such withdrawal of the Letter issued for the withdrawal of the connectivity. In view of the foregoing, the Petitioners are seeking a regulatory prescription that is not

available under the GNA Regulations and, for that purpose. In this regard, CTUIL's actions shall be guided by the provisions under the Regulations notified by this Commission or Orders of this Commission.

Rejoinder of the Petitioner to the CTUIL's reply:

9.The Petitioner vide affidavit dated 16.07.2025 has made a rejoinder to the submission of CTUIL, wherein mainly the following is submitted:

(a) The contentions made by CTUIL in its reply are completely contradictory to its own stand taken in the meeting conducted by MOP dated 09.04.2025, wherein it is in agreement with MOP that there is a regulatory gap in the existing Regulations, while in its reply in the present proceedings, it is contending the opposite, that the regulations are clear and unambiguous.

(b) Section 38(2)(c) of the Act mandates that the CTUIL has to develop an efficient, coordinated and economical system of inter-state transmission lines. The use of the word 'economical' is to ensure that the cost of availing open access by the DICs is commensurate with the transmission capacity/ services availed of by DICs. In other words, the use of open access by the DICs should not become onerous, which may include scenarios where the cost of an asset developed for the purposes of a DIC is burdened upon the other DICs.

(c) The reference to SOR is made with respect to the principle that any relinquishment of GNA quantum should not lead to an increase in the share of charges for other DICs in alignment with the intent enshrined under Section 38(2)(c). Accordingly, it is not a question of whether the GNA has already become effective or not; this principle is the underlying intent while levying relinquishment charges under Regulation 25.

(d) Petitioner intends to continue its 700 MW of GNA by availing the same proposed augmented transmission system and accordingly bear the consequent transmission charges in terms of Regulation 40 of the GNA Regulations, 2022. As such, the present case cannot be seen or considered as first a case of relinquishment and then a fresh grant of GNA/ Connectivity.

(e) Imposing an "absolute and unconditional statutory liability" for encashment of CBGs without any requirement to demonstrate actual loss or stranded capacity, in Paras 5 to 6 of its reply, is erroneous. Further, in the present case, there is no question of any losses as the Petitioner is seeking continuation of its GNA.

(f) The SOR captures the intent of Section 38(2)(c) that the ISTS should be built in an economical manner so that relinquishment of capacity by a GNA grantee should not impact the cost of availing open access by the other DICs. CTUIL's contention that reliance on Para 16.2.1 of the SOR is inapplicable as it pertains to GNA that has already become effective, whereas in the present case, only encashment of the cumulative CBGS is prescribed. However, the reference to the SOR is made with respect to the principle that relinquishment of GNA quantum should not lead to an increase in the share of charges for other DICs, which is the underlying intent while levying relinquishment charges under Regulation 25.

(g)The concept of stranded capacity and losses flows from Section 38(2)(c), which is also captured under SOR to Regulation 25.1 of the GNA Regulations, 2022. Accordingly, the principles contained in para 151 and 152 of this Commission's judgement dated 08.03.2019, passed in Petition No. 92/MP/2015, are applicable, which provides that in the event of relinquishment of open access, if another entity steps into the shoes of the relinquishing entity, then in that case, no relinquishment charges are leviable.

(h) Petitioner has sought to continue the previously granted GNA. This further demonstrates that no prejudice will be caused to CTUIL if the relief as sought by the Petitioner in the present is granted by this Commission.

Hearing dated 10.11.2025:

10. Learned senior counsel for the Petitioner and the learned counsel for the Respondent-CTUIL, made detailed submissions and concluded their respective arguments. Considering their request, the Commission permitted both sides to file their respective written submissions, if any, within a week, with a copy to the other side. The *status quo* was directed to be maintained regarding the Bank Guarantees submitted by the Petitioner till the outcome of the matter, and the matter was reserved for Order.

Written Submissions by the CTUIL:

11. The Respondent CTUIL vide written note dated 24.11.2025 has reiterated submissions already made.

Written Submissions by the Petitioner:

12. The Petitioner vide written submissions dated 24.11.2025 has reiterated submissions already made, the Petitioner has submitted as under:

a) SPPL withdrew its request for relinquishment of its GNA/ Connectivity vide its letters dated 04.04.2025 (to CTUIL) and 09.04.2025 (to MoP), and is instead seeking the continuation of its originally granted 700 MW GNA along with the previously submitted CBGs, thereby negating the condition of a completed relinquishment, that is a perquisite for imposition of any relinquishment charges under Regulation 25.

b) SPPL did not sign any connectivity agreement with CTUIL after the final grant of connectivity. Accordingly, in case SPPL had waited for revocation of connectivity by the efflux of the timeline for signing the connectivity agreement under the above provision, at least its CBG -3 would have been returned, and only CBG-1 would have been invoked, even if the transmission augmentation had taken place. However, in the present case, SPPL is requesting the continuation of its GNA, and is losing both of its CBG-1 and 3, which, in the case of revocation by efflux of time in signing the connectivity agreement, would have resulted in encashment of only CBG-1. This cannot be the intent of the GNA Regulations, 2022.

c) CTUIL, in its reply, has contended that there have been subsequent developments, such as the proposed SCOD revision from the earlier date of 01.01.2027 to 01.01.2028. It is to be noted that SPPL agrees to any postponement/ revision of the start date of GNA.

Analysis and Decision:

13. Petitioner, Support Properties Private Limited (SPPL), with the intention to develop a data centre with a requirement of 1.4 GW power in a phased manner,

applied for 700 MW GNA as a bulk consumer through 14 nos of different applications of 50 MW each in the first phase. The cumulative 700 MW GNA was granted vide 14 nos of final grants each of 50 MW on 24.10.2024. As per the final grants, the start date for GNA was 01.01.2027 and onwards for other grants.

14. The impugned GNA was granted at 765 kV/400 kV South Kalamb S/s, which was initially planned for the drawal requirement of Petitioner as a bulk consumer and catering to Pumped Storage Potential in the Talegon (Pune) area with SCOD as 01.01.2027.

15. Petitioner on 19.11.2024 submitted Connectivity Bank Guarantees amounting to Rs. 21 crores (cumulative Conn BG1 = Rs. 7 crores and cumulative Conn BG3 = Rs. 14 crores) in terms of final grants issued. Thereafter, Petitioner vide letter dated 22.01.2025 requested cancellation of the full 700 MW GNA, which was accepted by CTUIL vide letter dated 20.03.2025.

16. After the relinquishment of cumulative GNA of 700 MW, in terms of 2022 GNA Regulations, CTUIL proceeded to encash Conn BG1 and Conn BG3 amounting to Rs. 21 crores, vide letter dated 21.03.2025. Subsequently, Petitioner, vide email dated 22.03.2025, requested the cancellation of the invocation of the bank guarantees and confirmed that it would have to pay relinquishment charges in lieu of encashing the bank guarantees. However, on 04.04.2025, the Petitioner sought withdrawal of the letter dated 22.01.2025 and requested that GNA be allowed with the subsisting bank guarantees. Petitioner prays that it should be allowed to continue with a cumulative 700MW GNA grant without any additional financial implication.

17. Petitioner has submitted that, as it intends to continue 700 MW GNA on the same augmentation of the transmission system, this should not be considered as a first case of relinquishment and then a fresh grant of GNA.

18. CTU has submitted that in the absence of regulatory provisions allowing the withdrawal of the relinquishment request under the GNA Regulations, 2022, CTUIL could not have allowed or cannot accept such withdrawal of the Letter issued for the withdrawal of the connectivity. Petitioners are thus seeking a

regulatory prescription that is not available under the GNA Regulations, and CTUIL's actions shall be guided by the provisions under the Regulations notified by this Commission or Orders of this Commission.

19. CTUIL has submitted that, subsequent to relinquishment by the Petitioner, the SCOD of the common transmission system under the 700MW GNA grants has been revised from 01.01.2027 to 01.01.2028.

20. Petitioner agrees to continue with the postponed date of effectiveness of its GNA.

21. We have considered the submissions of the Petitioner and Respondents and perused the information available on record. The issues which arise for our consideration are **whether Petitioner can be permitted to continue with a cumulative 700 MW GNA granted on 24.10.2024, if so, the conditions thereof.**

The same is dealt with in subsequent paragraphs.

22. Petitioner was granted cumulative 700 MW GNA on 24.10.2024 as a bulk consumer, which was relinquished on 22.01.2025, however, relinquishment was withdrawn on 04.04.2025. The relevant extracts of applicable 2022 GNA Regulations are as under:

> *"**22.2. Grant of GNA to entities other than STU***
> *…*
> *(b-i) Entities covered under clause (iii) of Regulation 17.1 shall furnish Conn BG1 for Rs 50 lakhs per application and Conn-BG3 for Rs 2 lakh/MW.*
>
> *(b-ii) Entities covered under clause (vi) of Regulation 17.1 and applying GNA for injection into the ISTS shall comply with all requirements as applicable to entities under Regulation 4.1. For such entities Conn-BG1, Conn-BG2 and Conn-BG3 shall be returned in accordance with Regulation 16 of these regulations or on expiry of period of GNA, whichever is earlier.*
> *….*
> ***25. Relinquishment of GNA***
>
> *25.1 For an entity covered under Clauses (i) to (v) of Regulation 17.1, GNA once granted can be relinquished, in full or in parts, with a notice of one year to the Nodal Agency, along with a fee of fifty lac rupees (which shall be adjusted from the relinquishment charges) as per following:*
>
> *(a) For an entity covered under clause (i) of Regulation 17.1 of these regulations, STU may relinquish GNA on behalf of identified intra-State entity. The relinquishment charges shall be equal to 18 times the transmission charges payable by such intra-State entity for the last billing month under the Sharing Regulations, corresponding to the relinquished quantum.*

(b) For an entity covered under clauses (ii) to (v) of Regulation 17.1 of these regulations, the relinquishment charges shall be equal to 18 times, the transmission charges payable by such entity for the last month under the Sharing regulations, corresponding to the relinquished quantum.

Provided that, if the balance period of GNA is less than 24 months, the relinquishment charges shall be equal to the number of balance months times the transmission charges payable by such entity for the last month under the Sharing Regulations, corresponding to the relinquished quantum.

Provided further that for the entity covered under clause (iii) of Regulation 17.1 of these regulations, if GNA is relinquished prior to date of effectiveness of GNA, Conn-BG1 and Conn-BG3 shall be encashed corresponding to the relinquished quantum as relinquishment charges.

(c) Relinquishment charges received under clauses (a) and (b) of this Regulation shall be used for reducing Monthly Transmission Charges under the Sharing Regulations.

(d) On relinquishment of full quantum of GNA by entity covered under clause (iii) of Regulation 17.1 of these regulations, such entity shall be disconnected from the grid.

(e) Relinquishment charges shall be paid one month prior to effective date of relinquishment failing which relinquishment shall not be effective."

From above, in case of relinquishment of GNA, prior to the date of effectiveness, connectivity Bank Guarantees are to be encashed.

23. CTUIL has submitted that regulatory provisions are unambiguous and Conn BGs of Petitioner are liable to be encashed, even if it wants to continue with the same grants. Petitioner has argued and pleaded that it should be allowed to continue with 700 MW GNA, without any financial implication under the power to relax/ remove difficulties, as:

a) Initially, due to demand projections by hyperscale customers focusing on expanding AI capacity in India, much ahead of schedule, it applied for the withdrawal of GNA applications. However, the release of DeepSeek aimed to provide capabilities similar to those of modern LLM-based AI models, and the AI sector experienced global disruptions, also leading to demand recalculations. Further, demand for data centres in Mumbai is encouraging, which led SPPL to decide to withdraw the relinquishment of GNA, with the request that Conn BGs submitted earlier may be considered as sufficient and valid.

b) Transmission system required for SPPL's GNA had never been constructed; therefore, relinquishment has not resulted in any loss to CTUIL or burden to DICs.

c) Withdrawal of relinquishment does not constitute a fresh grant of GNA, but continuation of its existing rights.

24. We have taken note of the aforesaid arguments of parties, the stipulations under Regulations 25.1 of 2022 GNA Regulations are unequivocal and mandate encashment of Conn BGs, in case GNA is relinquished prior to effectiveness.

25. We have also considered Petitioner's proposition that the new generation AI data centres are highly specialised infrastructure and relatively nascent technology. Petitioner has withdrawn its request for relinquishment on 04.04.2025, about two and a half months of relinquishment on 22.01.2025.

26. We note that CTUIL has not encashed the Bank Guarantees since the Petitioner requested to pay cash in lieu of such BGs, and subsequently the Petitioner was advised to withdraw its withdrawal request.

27. We note that once relinquishment has been requested by an entity and accepted by the Nodal Agency, the vacant capacity is considered for allocation to another entity. In case an entity requests relinquishment, which is accepted by the CTUIL, but at a later point in time requests such withdrawal, it would lead to an anomalous situation where such vacated capacity has already been granted to another entity. Petitioner should have been more cautious prior to requesting the relinquishment of GNA. Petitioner has requested that its original GNA be restored with the same date, and in the event the start date is postponed due to the transmission system, it has no objections to revised dates.

28. In the instant matter, we note that the Nodal Agency-CTUIL has not indicated if such withdrawal would affect the priority of any other GNA applicant at South Kalamb S/s or if there is any other GNA applicant at South Kalamb who has requested the vacated capacity. We are of the considered opinion that if Petitioner is allowed to withdraw its relinquishment request, this would not take away any other entity's rights, and it may not only facilitate the development of nascent

demand technologies but also lead to optimal utilisation of the transmission system. Accordingly, we are of the considered view that the case is fit for consideration. We note that the provision of Conn-BGs under the GNA Regulations has been made to ensure that utilisation of the GNA grant commences as per the stipulated timeline. As per regulation, relinquishment would have caused encashment of BG amount of Rs 21 crore; however, in this case Commission allows the withdrawal request of Relinquishment of the petitioner with notional charge of 10% of BG amount, relaxing Regulatory provisions in order to encourage this emerging sector of Data Centres.

29. As discussed above, we are of the view that Petitioner should be allowed to continue with 700 MW GNA granted vide different 14 GNA grants by CTUIL, with subsisting Conn BGs already furnished in terms of such grants. Accordingly, CTUIL is directed to reinstate/ restore the GNA of the Petitioner in accordance with the revised SCOD of the transmission system after the Petitioner deposits a notional charge of 10% of the BG amount.

30. We also note that the Petitioner was granted and allowed to continue 700 MW GNA as a bulk consumer under Regulation 17.1(iii) of the 2022 GNA Regulations, in terms of the paragraph above, the relevant extracts of the 2022 GNA Regulations are as under:

> *"17. **Eligibility for GNA***
>
> *17.1. The following entities shall be eligible as Applicants to apply for grant of GNA or for enhancement of the quantum of GNA:*
>
> *(i) State Transmission Utility on behalf of intra-State entities including distribution licensees;*
> *(ii) A drawee entity connected to intra-State transmission system;*
> ***(iii) A distribution licensee or a Bulk consumer, seeking to connect to ISTS, directly, with a load of 50 MW and above;***
> *(iv) Trading licensees engaged in cross border trade of electricity in terms of the Cross Border Regulations;*
> *(v) Transmission licensee connected to ISTS for drawal of auxiliary power."*

Further, the Regulations 12.5 of the 2022 GNA Regulations provides as under:

> *"12. **Dedicated Transmission Lines and Bay(s)***

….
12.5. In case of an entity covered under Regulation 17.1(iii), the line to connect such an entity to the ISTS and the necessary augmentation for providing connection to the ISTS, shall be constructed and maintained by a licensee at the cost of such entity:

As per the above Regulation 12.5 read with Regulation 17.1(iii) of the GNA Regulations, if a distribution licensee or a bulk consumer is seeking GNA with direct connectivity to ISTS, the line to connect such an entity to the ISTS and the necessary augmentation for providing the connection to the ISTS, shall be constructed and maintained by a licensee at the cost of such entity.

31. To summarise, considering the discussions above, we are of the view that Petitioner is allowed to continue with its 700 MW GNA with a revised start date, subject to submission of an amount equivalent to 10% of the total ConnBG amount and compliance with the GNA Regulations.

31. The Petition 451MP2025, along with IA 36/2025, is disposed of in terms of the above.

Sd/	Sd/	Sd/	Sd/
(Ravinder Singh Dhillon)	**(Harish Dudani)**	**(Ramesh Babu V.)**	**(Jishnu Barua)**
Member	**Member**	**Member**	**Chairperson**